Both indigenous bankers and moneylenders were flexible and easily accessible to small borrowers in both rural and urban areas. But the moneylender, the most important source of rural credit, was guilty of many malpractices. The protection of agricultural debtors thus engaged the attention of the government right from 1879 when periodic legislations were introduced to protect the debtors against unconscionable rates of interest. Legislation was also undertaken to regulate the activities of moneylenders. But the legislative measures had many loopholes which the moneylenders exploited; the indebted were unwilling to expose the moneylender to whom they had to return for further loans in the absence of an alternative agency.

Banking on the European model only started in the nineteenth century. The efforts to set up a banking institution in India with some elements of a central bank can be traced as far back as January 1773, when Warren Hastings, Governor of Bengal, placed before the Board of Revenue his plan for a ‘General Bank of Bengal and Bahar’ the main British territory of the times. The next attempt was made in 1807–08 by Robert Rickards, a member of the Bombay Government, who submitted a scheme for a ‘General Bank’. The bank which was to be jointly owned by the public and the government in the proportion of 2:1 was proposed more as a means to pay off the large public debt. Between this and Keynes’ proposal for a ‘State Bank of India’ there were many proposals including one by G. Dickson, Secretary and Treasurer of the Bank of Bengal, for amalgamation of the three Presidency banks into a ‘central bank of India’ in 1867.

The Indian joint-stock banks were started by the English agency houses of Calcutta and Bombay. While some survived, many failed on account of speculation and mismanagement. Initially, they functioned on the basis of unlimited liability and till 1862 also issued their own currency notes. The boom in the cotton trade generated by the American Civil War led to a spurt in the growth of such banks. But the frenzy of speculation and the crisis which followed the boom also led to their early liquidation. The Swadeshi movement of 1906 gave a fillip to the growth of these banks and many of the present leading banks were established in the next seven or eight years. But the period from 1913 to 1918 saw many banks fail and the ICBEC recommended that a special Bank Act be passed to minimize the chances of such failure.